

AI Copyright Governance in the United States (U.S.): Lessons from the European Union (EU)

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1. Executive Summary

The rapid rise of generative artificial intelligence (GenAI) has disrupted the traditional relationship between copyright law and digital innovation. This situation has not escaped the attention of legislators in either the EU or the U.S. However, the EU and the U.S. have adopted different approaches to governing the use of copyrighted works in AI training. The EU has established transparency obligations through the EU AI Act and existing copyright directives, while the U.S. continues to rely primarily on litigation and judicial interpretation of copyright law¹.

Neither approach can be considered fully satisfactory, as both leave important challenges unresolved in the rapidly evolving AI market. EU law offers greater predictability and transparency, but compliance costs can be substantial. The U.S. model preserves flexibility but generates uncertainty for both creators and developers.

This policy brief argues that U.S. policymakers should adopt targeted transparency and documentation requirements for AI training data while preserving the flexibility of existing copyright law. Such measures would improve accountability, reduce legal uncertainty, and strengthen trust in AI systems without imposing the broader regulatory burdens associated with the EU model.

2. The Transatlantic Policy Challenge

Different approaches in the EU and U.S. create a complex global compliance landscape for AI developers and rights holders. These frameworks carry significant strategic and economic implications for the future of the technology sector.

Because certain obligations under the EU AI Act apply to providers placing AI systems on the EU market regardless of where training occurs, the EU is effectively exporting its copyright rules beyond its borders. A company that trains a model in the U.S. may rely on the U.S. fair use doctrine, but if it seeks to deploy that model in Europe, it must also comply with EU law. This dynamic creates confusion and legal uncertainty for AI developers operating across jurisdictions.

At the same time, a litigation-driven approach in the U.S. provides a comparatively slow and fragmented mechanism that often requires lengthy litigation before legal standards become clear.

Models of Governance in the EU and U.S.

Issue	EU	U.S.
Use of training data	Text and data mining exception ² , subject to rights-holder opt-out	Reliance on fair use, with legal scope still unsettled
Transparency obligations	Express regulatory disclosure and documentation requirements	Limited transparency obligations under current law
Primary governance tool	Ex ante regulation	Ex post litigation
Predictability	Relatively higher because obligations are set out in advance	Relatively lower because outcomes depend on case-by-case judicial decisions

3. The EU's Approach to AI Copyright Governance

Under the EU regulatory framework, AI developers and providers face strict copyright compliance obligations. These obligations include maintaining a Copyright Compliance Policy and respecting

¹ Thaler v. Perlmutter case

² European Parliament and Council, *Directive (EU) 2019/790 on Copyright and Related Rights in the Digital Single Market*, Articles 3–4

rights-holder opt-out mechanisms. To ensure transparency and allow creators to verify if their intellectual property was used without permission, providers must publicly disclose a "sufficiently detailed summary"³ of the datasets used to train the model, enabling creators and rights holders to assess whether their works may have been included. This must be updated if the model undergoes further training.

The European framework offers several advantages, particularly for users of AI models. At the same time, it imposes substantial implementation costs on companies and still leaves important issues unresolved. It also raises a broader challenge: legislation may struggle to keep pace with rapid technological change, especially given the slow and often rigid nature of the legislative process.

4. What the U.S. Can Learn

Despite its shortcomings, the EU framework appears to provide greater transparency and legal certainty than the approach currently used in the U.S. U.S. policymakers can learn from Europe's experience and introduce stronger transparency requirements at both the federal and state levels. Clearer rules would likely improve accountability and increase trust in AI models, while also reducing legal uncertainty and the high costs of litigation. By drawing on both the strengths and weaknesses of the European model, the U.S. can develop a more effective framework that better serves all stakeholders.

5. To be considered

- Targeted transparency requirements for AI developers. Such measures would improve accountability by giving creators and regulators greater visibility into the sources and use of training data, for example through dataset summaries, record-keeping requirements, or transparency reports, while stopping short of imposing a broader regulatory structure modeled on the EU framework.
- Preserve the human-authorship principle in copyright law. Maintaining this principle would provide clarity, protect the core purpose of copyright, and avoid introducing unnecessary uncertainty into an already unsettled legal environment.
- Any new requirements should avoid imposing excessive compliance burdens that could limit innovation. A balanced approach would strengthen transparency and accountability without creating costs so high that they discourage investment, experimentation, or market entry.

Conclusion

The EU and the U.S. have adopted different approaches to AI copyright governance, each with distinct strengths and weaknesses. While the EU provides greater transparency and legal certainty, the U.S. model offers flexibility but leaves key questions unresolved. A targeted transparency framework could help the United States improve accountability and reduce legal uncertainty without replicating the broader EU regulatory model.

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³ European Parliament and Council, *Regulation (EU) 2024/1689 Laying Down Harmonized Rules on Artificial Intelligence (AI Act)*, OJ L, 2024, Articles 53–55.